Mindful Drinking Goes Mainstream in South Africa

Sober-Curious Culture & No/Low Alcohol Growth

Nearly **1 in 3** consumers out socializing choose **no alcohol** at any given time

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Presented by: **innovatr**

Executive Summary

Key Market Insights

- Non-alcoholic wine sales grew by **59.74%** from 2021 to 2022 (SAWIS data)
- Sparkling non-alcoholic wine category saw a staggering **650%** increase in local sales
- Nearly **1 in 3** consumers at social occasions globally are not drinking alcohol
- **95%** of no-alcohol consumers are regular drinkers who occasionally choose alcohol-free alternatives

Consumer Drivers

- Post-pandemic focus on physical and mental wellness
- Balance and moderation rather than total abstinence
- Desire for elevated social experiences without alcohol effects

Market Momentum

59.74%
Growth in non-alcoholic wine sales (2021-2022)

650%
Growth in sparkling non-alcoholic wine category

15.1%
Annual growth in non-alcoholic beverages since 2020

Demographic Leaders

Millennials and Gen Z are at the forefront, with **45%** of legal-age Gen Z reporting they've never tried alcohol

Takeaway: Mindful drinking is rapidly moving from niche trend to mainstream behavior—brands must adapt or risk missing a significant growth opportunity.

Sources: SAWIS 2022; Innovatr Research 2025; IWSR Drinks Market Analysis; South African Wine Industry Information & Systems

Mindful Drinking: Market Snapshot

South Africa's alcohol landscape is evolving rapidly

Market Value

R160+ billion in domestic alcohol sales

18.2% of consumer spending on food & beverages

Beer Dominates

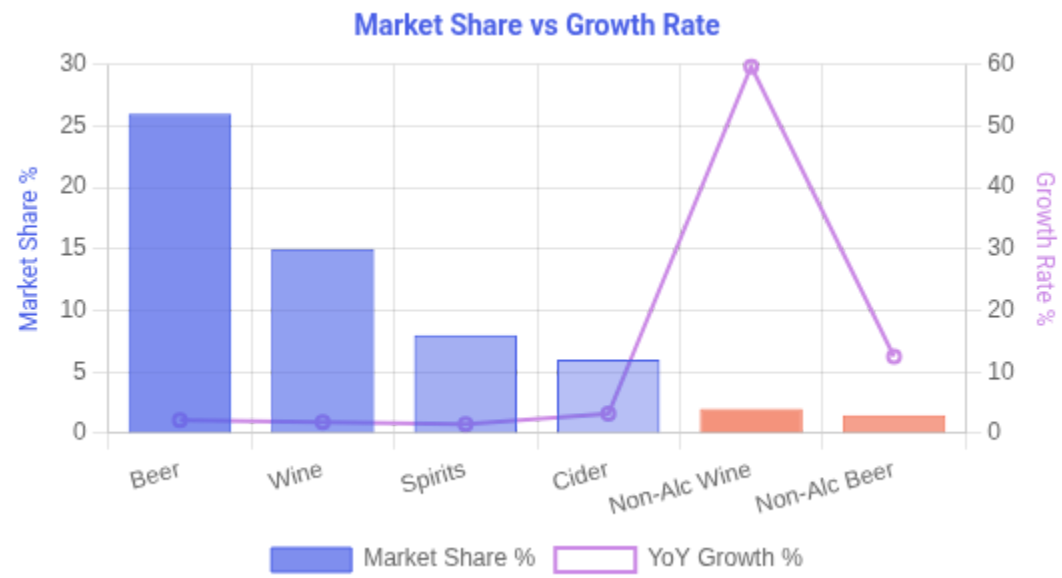
26% of adults consumed beer in past month

Followed by wine (15%), spirits (8%), cider (6%)

Growth Segments

Non-alcoholic wine: **+59.74%** (2021-2022)

Non-alcoholic sparkling: **+650%** growth



Shifting Consumer Landscape

While traditional alcohol categories remain strong, non-alcoholic segments show the highest percentage growth rates, signaling shifting consumer preferences.

South African Uniqueness

SA stands out for strong cider preferences and rapidly emerging non-alcoholic innovations focused on natural ingredients (90% use natural flavors only).

Takeaway: The rapid growth of non-alcoholic segments signals a significant shift in South African drinking culture.

Sources: SAWIS Reports 2022-2023; SagaCube Consumption Tracker; BevZero Market Analysis; Innovatr Research 2024

The Rise of Mindful Drinking

What is Mindful Drinking?

- Choosing **low- or no-alcohol options** for health or lifestyle reasons
- A conscious approach to alcohol consumption—drinking less, but with greater intention
- Not about total abstinence, but **moderation and choice**

> *"The mindful drinker is a consumer that is moderating their alcohol consumption. Whether taking part in non-drinking months or just drinking less, people are driven by taste and experience rather than alcohol strength."*
>
> — Karl Fielding, VP for Middle East and Africa, Lyre's

GLOBALLY

1 in 3

not drinking alcohol

consumers out socializing are choosing non-alcoholic options at any given time

The South African Context

95% of consumers who enjoy non-alcoholic options are **not strict abstainers**—they're regular drinkers who occasionally swap in alcohol-free alternatives

Key Consumer Behaviors

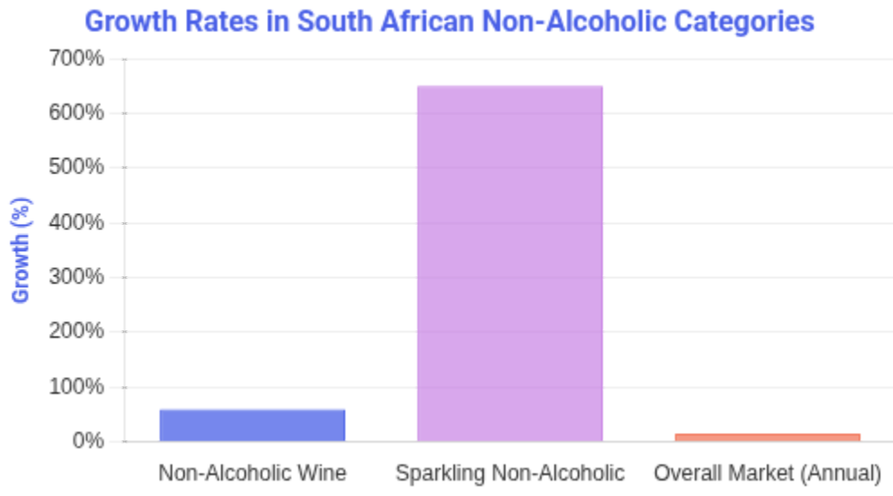
- **Substituters:** Alternate between alcoholic and non-alcoholic drinks
- **Blenders:** Mix alcoholic and non-alcoholic drinks in the same occasion

Takeaway: Mindful drinking is about moderation, not elimination—a powerful shift in how consumers approach social drinking.

Sources: IWSR Drinks Market Analysis; Innovatr Research 2024; Cape Town Etc.; Sagaci Research

Key Statistics: Non-Alcoholic Growth in South Africa

Record-breaking growth across beverage categories



1 Non-Alcoholic Wine Growth

+59.74% growth in sales volume from 2021 to 2022 (SAWIS data)

2 Sparkling Category Explosion

+650% growth in sparkling non-alcoholic wine (2021-2022)

Market Implications

Sustained Growth

15.1% year-on-year growth in non-alcoholic and de-alcoholized wine sales since March 2020, revealing a consistent upward trajectory

Category Transformation

Sparkling non-alcoholic wine volume jumped from just **2,156 liters** (2021) to **16,175 liters** (2022), establishing it as a serious market segment

Consumer Adoption

Sales pattern suggests mindful drinking is moving from niche to mainstream—with established brands now competing for share

Takeaway: Non-alcoholic beverages have moved beyond trend to growth engine for alcohol brands.

Sources: SAWIS (South African Wine Industry Statistics); Nielsen Retail Data 2020-2022; Innovatr Market Research

Consumer Insights: Sober-Curious Generation

Millennials
Ages 28-42

- Leading the "sober curious" movement with balanced approach
- Prefer **switching between** alcoholic and non-alcoholic options
- Value wellness without sacrificing social experiences

Gen Z
Ages 18-27

- **45%** report never having tried alcohol
- More likely to experiment with non-alcoholic alternatives
- Seeking sophisticated experiences without alcohol effects

Key Behavior Patterns

Moderation, Not Abstinence
Most consumers are "substituters" who drink alcohol sometimes and non-alcoholic beverages at other times

"Blenders" Rising
Switching between alcoholic and non-alcoholic drinks in the same occasion

Experience Seekers
Value taste, authenticity, and sophisticated non-alcoholic alternatives

Industry Impact

New consumers made up **nearly 20%** of no-alcohol consumers in 2023, with **millennials** in South Africa leading the transition, while **Gen Z** drives non-alcoholic experimentation.

Takeaway: Younger consumers want choice and flexibility, not an all-or-nothing approach to alcohol.

Sources: IWSR Drinks Market Analysis 2023; NIQ Consumer Panel Data; Innovatr Research

Trend Drivers: Health, Wellness & Social Shifts

Why mindful drinking is gaining momentum in South Africa

Health & Wellness Culture

Post-pandemic consumers are more **health-conscious** than ever

They want to socialize without derailing their gym schedules, mental clarity, or overall wellness goals

Dry January & Ocsober

30-day challenges are **normalizing breaks** from alcohol

SA participation in these global movements has grown substantially with 60% more social mentions year-on-year

Experience Over Intoxication

Today's consumers value the **ritual and taste** experience

18-35 year-olds still want to socialize, but also crave productive mornings and clear-headed days

Social Stigma Reduction

Not drinking at social events is increasingly **normalized**

The stigma around not drinking at a party is fading fast, especially in urban centers

2019 - Early Adoption

First dedicated non-alcoholic bars open overseas; SA sees initial import brands testing market

2020-21 - Pandemic Shift

SA alcohol bans during lockdown create space for behavior change; home experimentation with mocktails rises

2022-23 - Quality Innovation

SA producers invest heavily in quality; Lautus and others win international awards; mainstream restaurant adoption begins

2024-25 - Mainstream Adoption

Non-alcoholic options on most menus; Ocsober mentions up 60%; major retailers create dedicated sections

From Fringe to Mainstream

The "sober curious" movement isn't anti-alcohol — it's pro-choice and pro-health. South African consumers are increasingly demanding sophisticated non-alcoholic options for certain occasions while still enjoying traditional drinks at others.

Takeaway: The convergence of health trends, quality innovations, and social acceptance has pushed mindful drinking from niche to mainstream status.

Sources: Innovatr Research 2024; Social Media Trend Analysis; The Rise of Ocsober in South Africa Report; SagaCube Consumer Research

Quality & Innovation: New Alternatives and Choices

Quality Revolution

International Recognition

South African non-alcoholic producers now winning international awards and securing overseas listings, marking **significant quality improvements**

Base Wine Excellence

Premium base wines used for de-alcoholisation process, preserving complex flavor profiles that distinguish **South African offerings**

Technical Innovation

Improved production techniques removing previous quality barriers, with alcohol removal processes that **maintain wine character**

South Africa's Natural Advantage

South African Approach

- **90%** use natural flavors only
- Grape-forward character
- Minimal additives

European Counterparts

- More synthetic additions
- Flavor-enhanced profiles
- Greater flavor manipulation

"Non-alcoholic wine might not taste like wine, but it represents the same idea and is a good alternative with a lot more complexity than a glass of water."

— Reg Holder, Lautus founder

Future Quality Developments

Continued innovation in production techniques and grape selection specifically for no/low alcohol products will further elevate **quality** and **consumer perception**

Takeaway: South African producers are distinguishing themselves with naturally-derived, premium no-alcohol alternatives that compete on taste, not just health benefits.

Sources: Wine.co.za interviews; BevZero industry analysis; Innovatr Research; Lautus product development interviews (2025)

Brand Spotlight: Local Leaders

South African brands pioneering the mindful drinking movement

Lautus

Pioneer in de-alcoholised wines

Founded by Reg Holder, Lautus was one of the first de-alcoholised wines in South Africa, now expanding internationally with premium positioning.

Award-winning | Export success

Allure

Beck Family Wines

Premium non-alcoholic sparkling wine with significant consumer appeal. Positioned as a sophisticated alternative rather than a substitute.

Premium | Sparkling specialists

Darling Cellars

Natural flavor focus

High-growth de-alcoholised wine range with market expansion potential. Focuses on natural grape flavors without artificial additives.

All-natural | High growth

The Duchess

Botanical G&T alternatives

Leading alcohol-free ready-to-drink brand specializing in botanical gin and tonic alternatives that deliver sophisticated flavor profiles.

Ready-to-drink | Botanical

Lyre's

International spirits powerhouse

World's most-awarded non-alcoholic spirits brand, launched in SA in 2022 with a range of spirit alternatives including gin, bourbon, and rum equivalents.

New market entrant | Global leader

Success Factors

What drives brand growth

- Quality parity with alcoholic alternatives
- Premium positioning and packaging
- Natural ingredients (90% use only natural flavors)
- Sophisticated flavor profiles

Quality first | Premium pricing

South African no-alcohol wine sector uniquely focuses on **natural grape-derived flavors** (90% natural vs. European synthetic alternatives), positioning SA brands for **premium global markets** and future regulatory advantages.

Takeaway: Local innovators are establishing South Africa as a quality leader in the global mindful drinking movement.

Sources: Wine.co.za; Cape Town Etc; BevZero Market Analysis; Brand websites; Innovatr Research interviews 2024

Competitive Landscape: Market Evolution

Traditional dominance challenged by innovative non-alc entrants

Market Evolution Phases

Pre-2020: Limited Options

Few non-alcoholic options, mostly low-quality alternatives. Market dominated by traditional beer (SAB) and wine producers.

2020-2022: Quality Pioneers

Early innovators like **Lautus** and **The Duchess** establish premium non-alc segment. Quality improvements in taste profiles.

2023-Present: Mainstream Growth

Major players enter, retail space expands, dedicated non-alc sections appear in stores and on menus. International brands like **Lyre's** enter SA market.

Current Market Structure

Traditional Players

Large established brands with dominant market position

- AB InBev/SAB
- Distell
- Heineken
- KWV

Non-Alc Specialists

Focused on alcohol-free innovation

- Lautus
- The Duchess
- Darling Cellars
- Beck Family

Key Innovations & Strategies

International Entrants

- **Lyre's (Australia)**: Premium non-alcoholic spirits with sophisticated brand positioning, targeting high-end venues and retail
- **Seedlip (UK)**: Pioneered botanical non-alc spirits category with premium pricing ($35-45 per bottle)
- **Heineken 0.0**: Major marketing push and sponsorships to normalize alcohol-free beer

Local Innovations

- **Natural Advantage**: SA producers using natural grape extracts without artificial flavors (90% of local products)
- **Premiumization**: Brands like Allure positioning as luxury alternatives, not compromise options
- **Distribution Innovation**: Dedicated zero-alcohol sections in retail and featured prominently on restaurant menus

Strategic Positioning Shift

Successful brands are positioning as "elevated alternatives" rather than "substitutes," emphasizing unique experience and quality craftsmanship over alcohol content.

Market Adaptation Metrics

Traditional Players Adapting	Retail Shelf Space	On-Trade Menu Presence	Price Position
7 of 10	**+125%**	**68%**	**80-100%**
major brands launching non-alc lines	growth for non-alc section since 2022	of premium venues now feature non-alc sections	of alcoholic equivalent pricing

Takeaway: The non-alcoholic market has evolved from niche to mainstream competition, forcing established players to innovate or lose market share to specialists.

Sources: BevZero Market Analysis 2024; IWSR Drinks Market Analysis; Innovatr Competitive Research; Industry Interviews with SA beverage executives

Implications: How Brands Must Adapt

Core Portfolio Integration

Shift no/low-alcohol from niche afterthought to essential product line. Consumers expect quality options across all occasions.

Destigmatize Moderation

Position mindful choices as **aspirational and sophisticated**, not defensive or apologetic. Frame as upgrade, not compromise.

Experience Over Abstention

Focus messaging on taste, craft and occasion—not health benefits or alcohol avoidance. Celebrate the **positive choice**, not what's missing.

Premium Positioning

Elevate packaging, pricing and placement—treat with **equal prominence** on menus, shelves, and marketing materials as alcoholic counterparts.

R&D Imperatives

- Invest in **natural flavor extraction** techniques
- Replicate **mouthfeel and complexity** of alcoholic versions
- Explore **botanical and functional** ingredient innovations
- Develop full range from entry-level to **premium offerings**

> *"Our no-alcohol wines might not taste exactly like wine, but they represent the same idea and offer **complexity far beyond** a glass of water."*
>
> **— Reg Holder, Lautus Founder**

Takeaway: To succeed in mindful drinking, brands must normalize moderation through sophisticated products and positioning—not as an alternative but as a valid choice in its own right.

Sources: Innovatr Brand Research 2025; Wine.co.za Industry Reports; IWSR Market Analysis; Brand Marketing Executive Interviews

Implementation: Growth Strategies for SA Brands

Create Integrated "Mindful Drinking" Zones

Dedicated retail sections and menu areas that showcase full no/low-alcohol portfolio together, creating visibility and discovery opportunities

Influencer Partnerships & Authentic Storytelling

Collaborate with wellness creators, athletes, and lifestyle influencers to normalize moderation and share authentic experiences

Sampling Education Programs

Focused tasting experiences highlighting flavor profiles and ingredients, especially targeting new demographics like Gen Z

Social Occasion Bundling

Create mindful drinking connections to braais, sporting events, outdoor activities, and wellness gatherings with targeted messaging

Fast-Track NPD Pipeline

Accelerate development of non-alcoholic and low-ABV product lines with focus on local botanicals, indigenous flavors and premium positioning

Success Metrics

- **+30%** shelf/menu visibility
- **15%** increase in trial rates
- **25%** uplift in category value
- **5:1** ROI on sampling programs

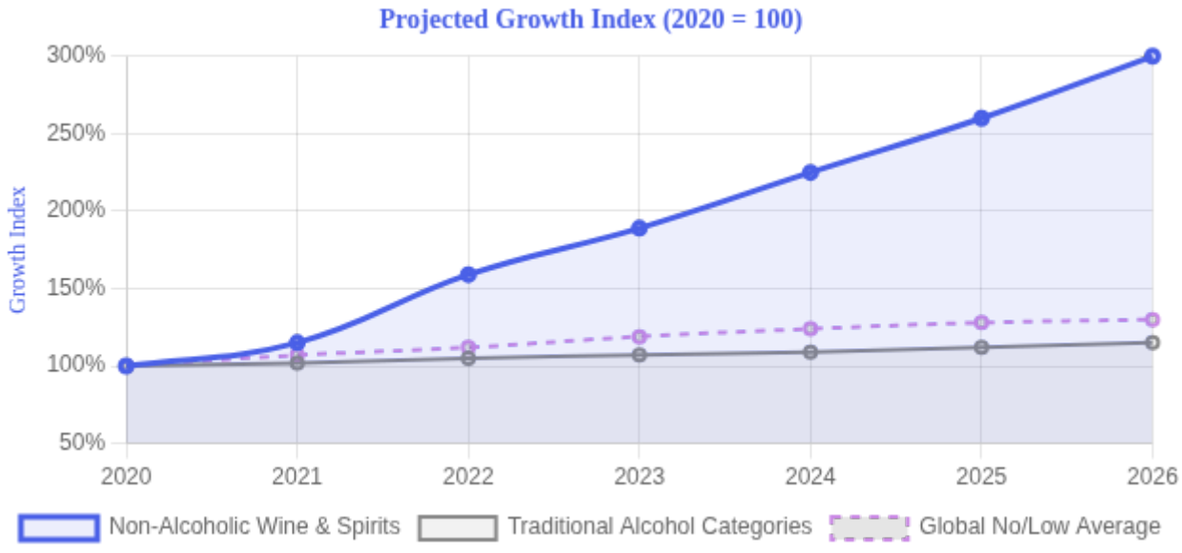
Implementation Timeline

- **Q1:** Research & planning
- **Q2:** Retail pilots & testing
- **Q3:** Full market rollout
- **Q4:** Evaluate & optimize

Takeaway: Brands that transform mindful drinking from a product subcategory to a lifestyle positioning will capture disproportionate growth.

Sources: Innovatr Strategic Implementation Playbook 2025; IWSR Drinks Market Analysis; Global Brand Case Studies

Opportunities: Market Outlook & Future Growth



IWSR Global Forecast

No/low-alcohol category expected to increase by **30%** through 2026 globally

Non-alcoholic products will account for over 90% of the total category volume growth

South Africa's Unique Growth Pattern

Non-alcoholic beverage growth in South Africa is outpacing traditional alcohol categories by **4X** since 2022, with continued momentum expected through 2026.

Early Mover Advantages

- Capture brand loyalty before category saturation
- Establish premium positioning and pricing power
- Define category standards and consumer expectations
- Secure retail/menu placement and visibility

SA non-alcoholic wine market could reach **R250 million** by 2026

Takeaway: The market is shifting rapidly—brands that act now will lead the next decade of South African drinking culture.

Sources: IWSR Drinks Market Analysis 2024; Innovatr Research; SAWIS Reports; Statista Market Forecast; BevZero Market Analysis

Action Plan: Next Steps for Brand Teams

Audit Your Portfolio

Evaluate current offerings against no/low-alcohol trends. Identify gaps in your range compared to competitors and consumer needs.

Map Consumer Gaps

Identify unmet consumer needs and channel execution opportunities. Focus on occasions where mindful drinking is emerging.

Develop Pilot Campaigns

Create targeted test-and-learn initiatives with rapid feedback loops. Test no/low positioning with specific demographics.

Champion Internal Strategy

Develop and advocate for a dedicated 'mindful drinking' strategy within your organization. Secure cross-functional support and resources.

Monitor Global Trends

Stay connected to global trendsetters and local taste makers. Track innovations in advanced markets like UK and US for early adoption.

Early movers in this space will capture significant market share and build brand loyalty with increasingly health-conscious consumers.

Immediate — 30 Days — 60 Days — 90 Days

Takeaway: Success requires rapid adaptation and clear internal vision—the mindful drinking movement demands immediate, strategic action.

Sources: Innovatr Strategic Consulting; Beverage Industry Expert Interviews; IWSR Non-Alcoholic Strategy Playbook 2025

Closing Thoughts: Embracing the New Drinking Culture

Mindful Drinking is Here to Stay

- Not a passing trend—a fundamental **shift in consumer preferences** across demographics
- South Africa's no/low category growing at **4× the rate** of traditional alcoholic beverages
- Leading brands are reimagining their portfolios, not just adding token options

Innovation Will Define Leaders

- Product development that delivers on taste and experience
- Marketing that champions moderation as aspirational, not restrictive
- Retail and hospitality experiences that celebrate choice

Ready to Lead the Change?

Innovatr's research-driven insights can help your team navigate the mindful drinking revolution with confidence.

Our services include:

- Consumer behavior workshops
- Portfolio gap analysis
- No/low product innovation sprints
- Competitive landscape mapping

Let's explore how your brand can thrive in South Africa's evolving beverage landscape.

Contact Our Research Team

"The most successful brands won't just **adapt** to the mindful drinking movement — they'll **lead** it."

Takeaway: Mindful drinking represents a permanent shift in South African consumer behavior—innovative brands that embrace this movement will shape the future of the industry.

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